

The background of the slide is a blurred financial chart. It features a line graph with white circular markers connected by a thin white line. The chart is overlaid on a background of vertical orange bars, resembling a bar chart. Some data points on the line graph are labeled with numbers: 153.102, 154.178, and 245.57. The overall color scheme is dark with orange and white highlights.

Unique Marketing issue

Chapter 11

Selecting a Market and Establishing a Position in the Market

- In order to succeed, a new firm must address this important issue: Who are our customers are how will we appeal to them?
- A well-managed start-up approaches this query by following a three-step process:
 - Segmenting the market. **S**
 - Selecting a target market. **T**
 - Establishing a unique position in the target market **P**

S

Segmentation



T

Targeting

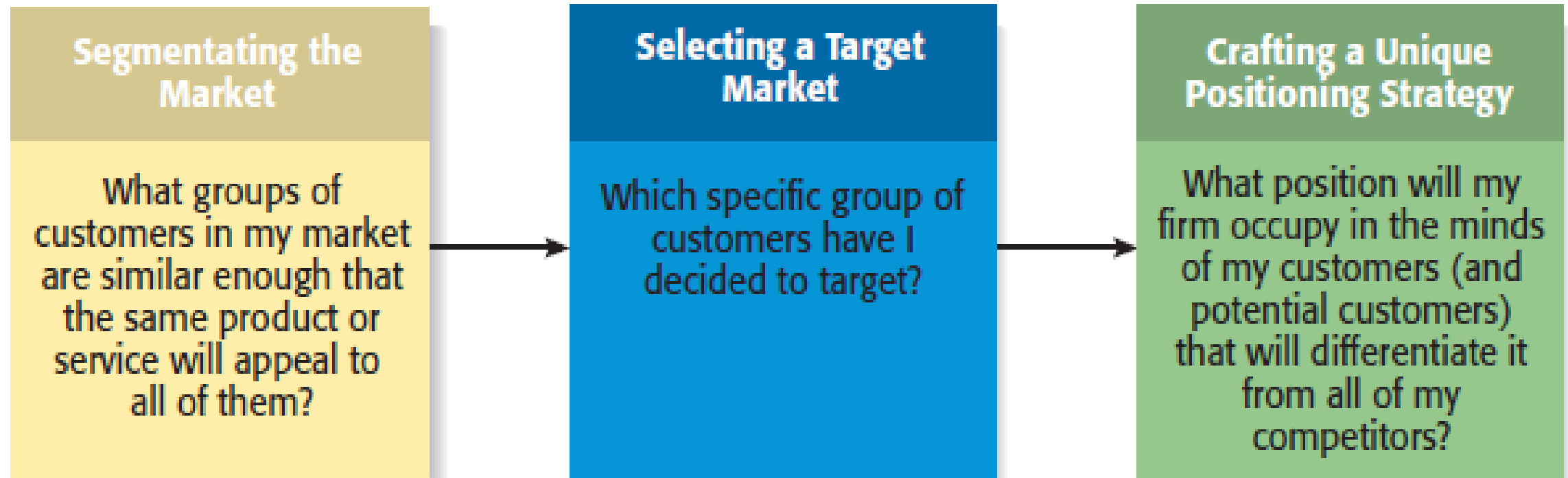


P

Positioning



The Process of Selecting a Target Market and Positioning Strategy



Positioning Strategy?



Market Segmentation

Bases for Segmenting Consumer

Geographic

Nations, states,
regions or cities

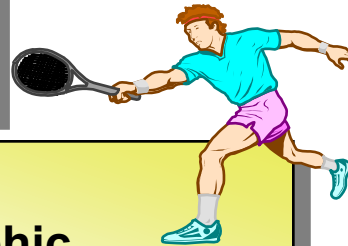


Demographic

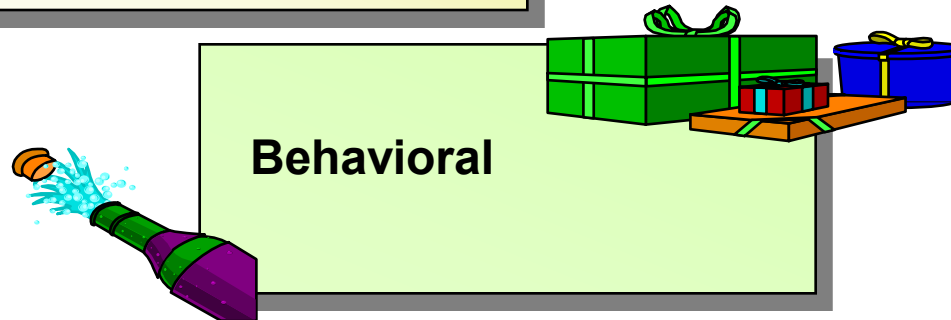
Age, gender,
family size and
life cycle, or income



Psychographic



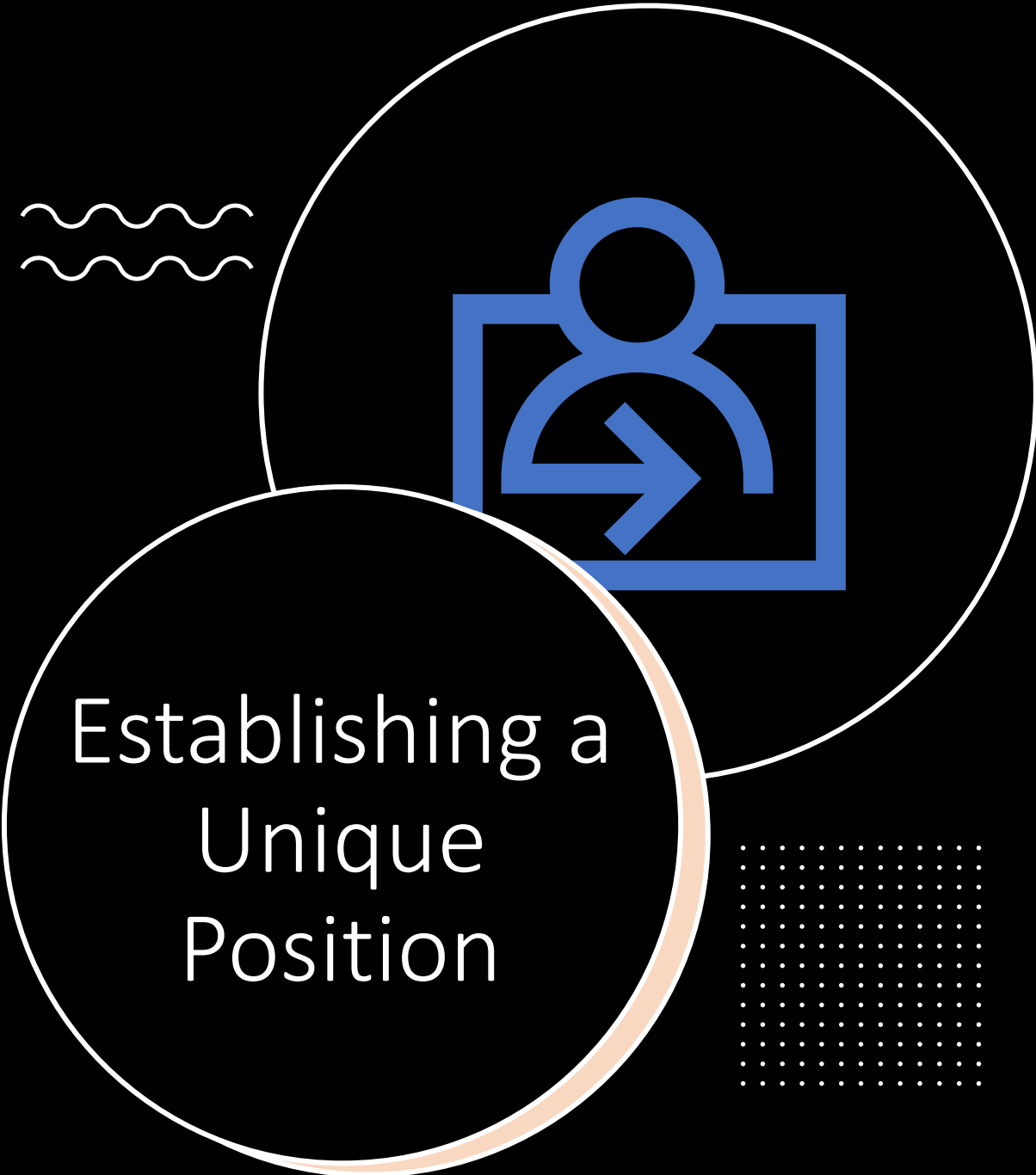
Behavioral



Selecting A Target Market



- Once a firm has segmented the market, a target market must be chosen.
- The market must be sufficiently attractive and the firm must have the capability to serve it.



Establishing a Unique Position

• Positioning

- After selecting a target market, the firm's next step is to establish "position" within the market that differentiates it from its rivals.
- A "position" is the part of a market that the firm is claiming as its own.
- A firm establishing a unique position in its customers' minds by drawing attention to two or three of the product's attributes.

Establishing a Unique Position

- Positioning (continued)
 - Firms often develop a “tagline” to reinforce the position they have staked out in their market, or a phrase that is used consistently in a company’s literature and thus becomes associated with the company.
 - An example is Nike’s familiar tagline, “Just do it.”

Selling Benefits Rather Than Features

- Selling Benefits Rather Than Features
 - Many entrepreneur make the mistake of positioning their company's products or services on features rather than benefits.
 - A positioning or marketing strategy that focuses on the features of a product, such as its technical merits, is usually much less effective than a campaign focusing on what the merits of the product can do.

Positioning

- Just do it (Nike)
- Eat fresh (Subway)
- Think Different" – Apple
- "Open Happiness" - Coca-Cola

Selling Benefits Rather Than Features

Establishing a Brand

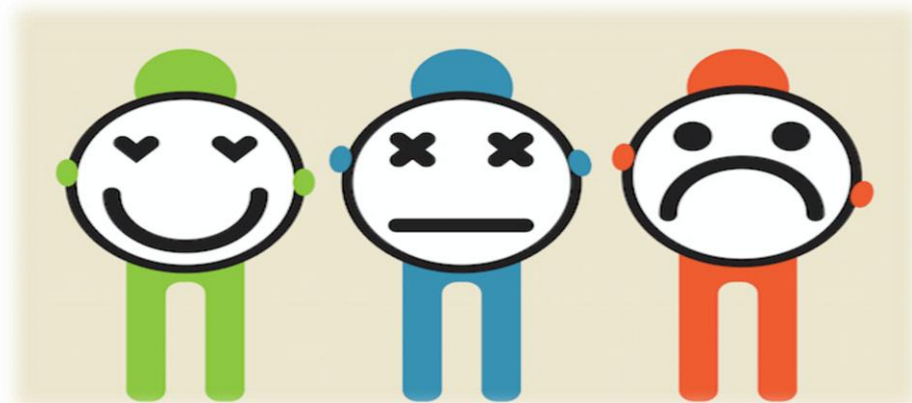


- A brand is the set of attributes—positive or negative—that people associated with a company.
 - These attributes can be positive, such as trustworthy, dependable, or easy to deal with.
- The customer loyalty a company creates through its brand is one of its most valuable assets.

A product is something that is made in a **factory**; a brand is something that is bought by a **customer**. A product can be **copied** by a competitor, a brand is **unique**. A product can be quickly **outdated**; a successful brand is **timeless**.

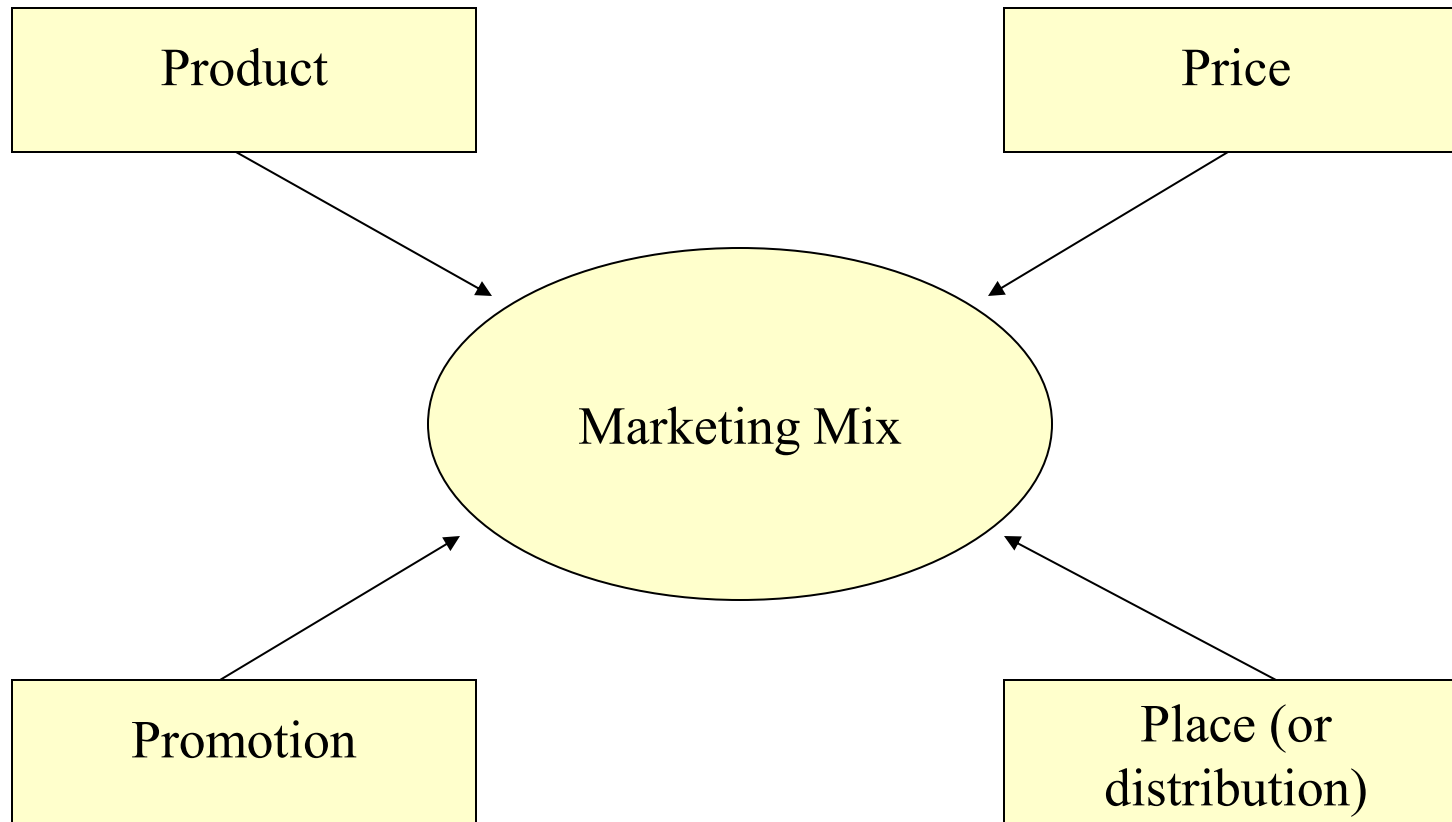
A brand is something that resides in the minds of consumer.

MORE EMOTIONAL



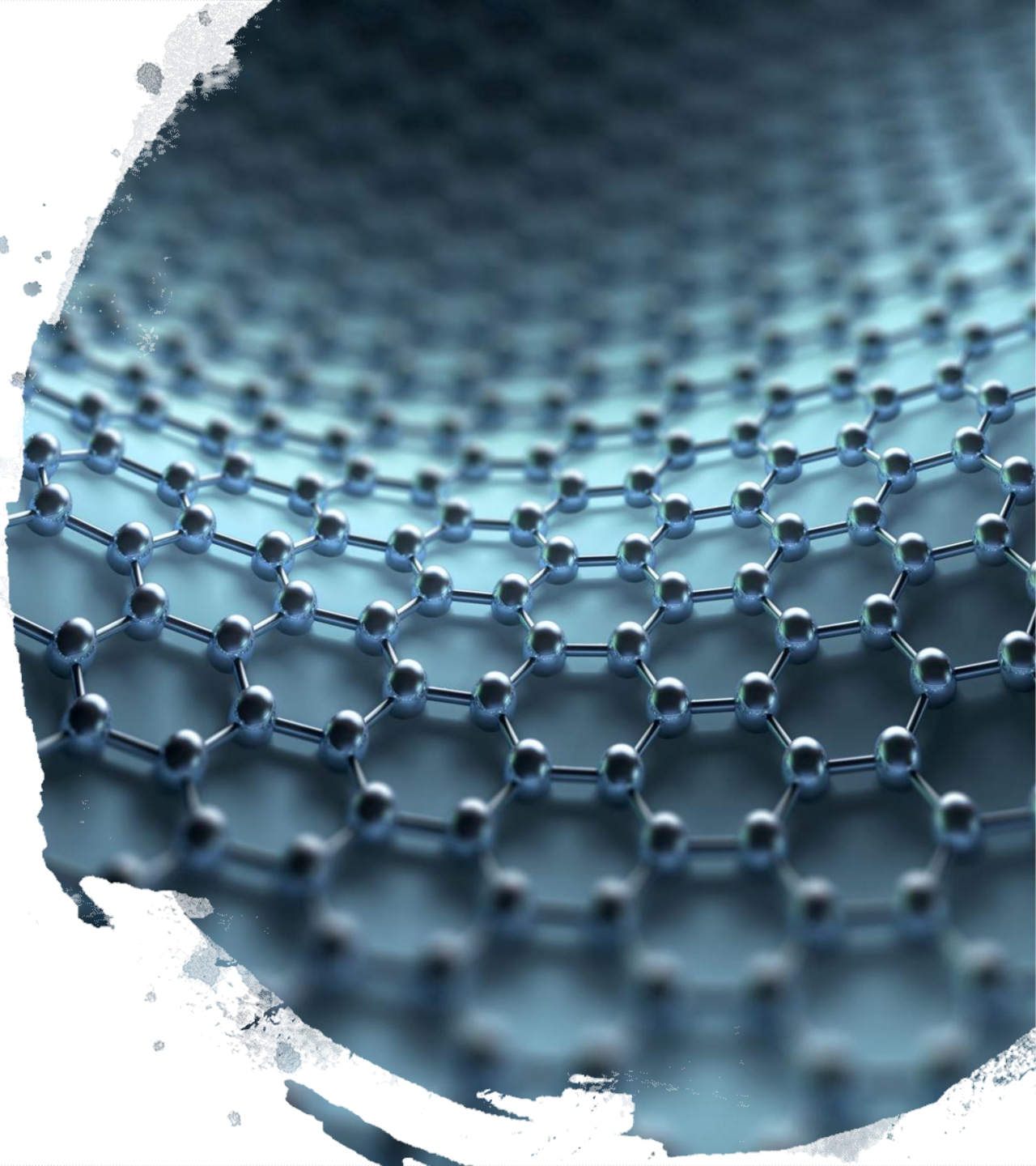
WHAT IS BRAND

The Four Ps of Marketing for New Ventures



Product

- Is the good or service a firm offers to its target market.
- All firms face the challenge that they are unknown and that it takes a leap of faith for the first customers to buy their products.
 - Some startups meet this challenge by using reference accounts.



Core Product vs. Actual Product

Core Product	Actual Product
Purpose of a product.	The product plus all the attributes that come with it such as quality level, features, design, packaging, and warranty.



Core Product
vs. Actual
Product

Price

- Price is the amount of money consumers pay to buy a product.
- The price a company charges for its products sends an important message to its target market.
- Most entrepreneurs use one of two methods to set the price for their products, as shown on the next slide.



Pricing

Cost-Based Pricing

The list price is determined by adding a markup percentage to a product's cost.

Value-Based Pricing

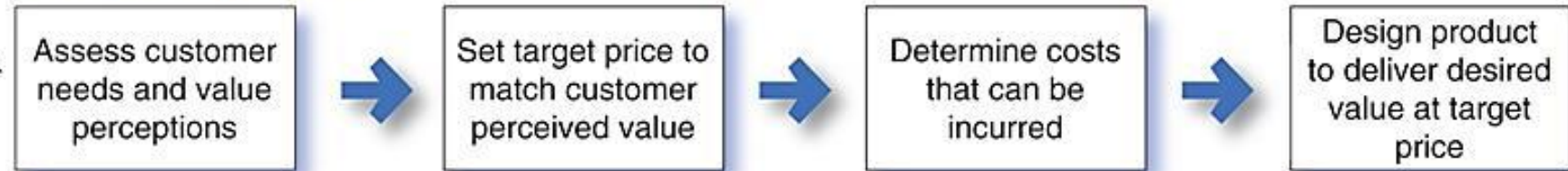
The list price is determined by estimating what consumers are will to pay for a product.

Cost-based pricing



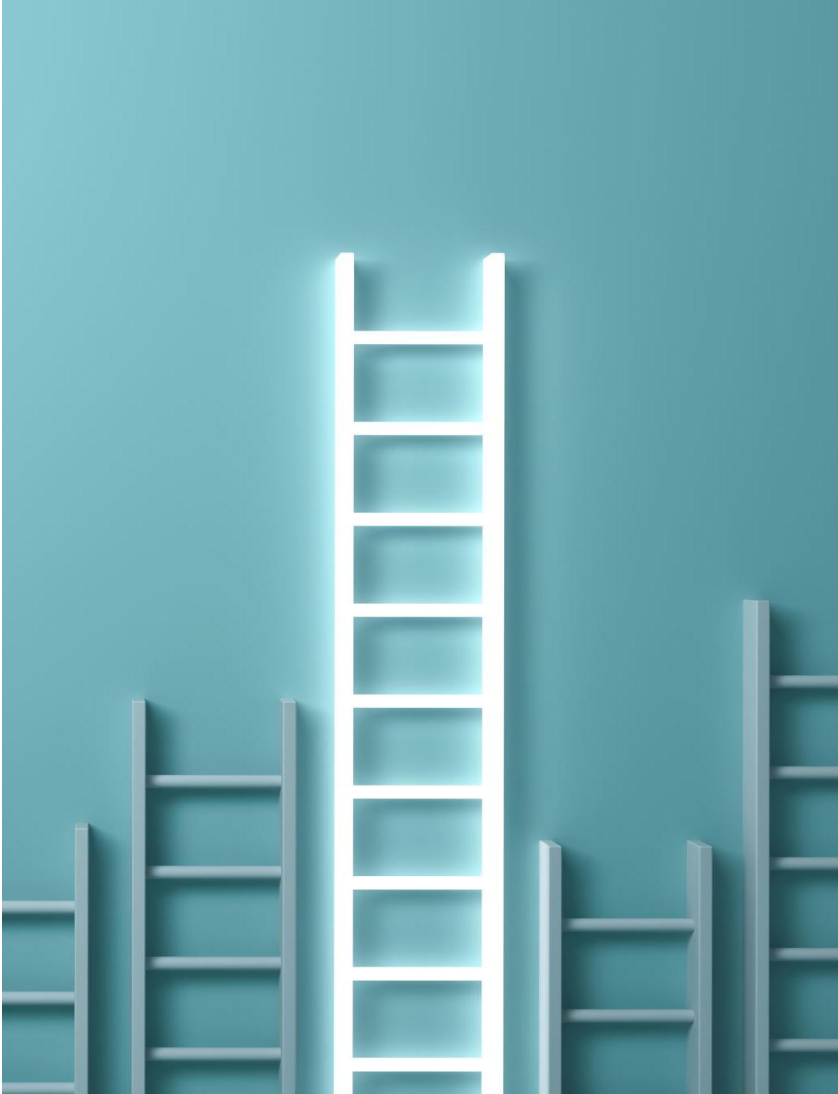
Costs play an important role in setting prices. But, like everything else in marketing, good pricing starts with the customer.

Value-based pricing





Promotion



Promotion

- Refers to the activities the firm takes to communicate the merits of its product to its target market.
- There are several common activities that entrepreneurs use to promote their products and services.

Advertising

- Advertising is making people aware of a product or service in hopes of persuading them to buy it.





No one grows Ketchup like Heinz.

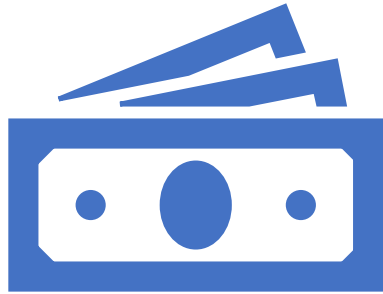


For some this is the Everest

help build more facilities adapted for disabled people

Public Relations

The Role and Impact of Public Relations



Lower cost than advertising

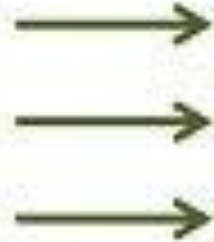


Stronger impact on public awareness than advertising

"We offer best products and services"



Trust me, "they offer best products and services"



Difference

Public Relations Techniques

Press release

Media coverage

Articles in industry
press

Blogging

social, and community
involvement

News conference

Other Promotions Techniques

Viral Marketing

Facilitates and encourages people to pass along a marketing message about a particular product or service.

Guerrilla Marketing

A approach to marketing that relies on ingenuity, cleverness, and surprise rather than traditional techniques.



Place (or Distribution)

- Encompasses all the activities that move a firm's product from its place of origin to the consumer.
- The first choice a firm must make regarding distribution is whether to sell its products directly to consumers or through intermediaries (such as wholesalers and retailers).

Selling Direct Vs. Selling Through an Intermediary

1 of 2

Approach to Distribution	Description
Selling Direct	Many firms sell direct to customer, maintaining control of the distribution and sales process.
Selling Through Intermediaries	Other firms sell through intermediaries and pass off their products to wholesalers who place them in retail outlets to be sold.

Selling Direct Versus Selling Through a Intermediary

2 of 2

Selling Direct



Selling Through Intermediaries



Lecture Video

<https://www.youtube.com/watch?v=5yRB3zzqdV4&feature=youtu.be>